

# A Beat Does Not Grade the Decision

*Nvidia beat, the stock rose after hours, and the desks holding nothing were not wrong. Why that is not a contradiction.*

## THE READING

Nvidia reported second-quarter revenue of \$96.2bn against consensus near \$91.9bn and its own \$91.0bn guide, with data centre at \$89.0bn, up 117% on the year. Earnings came in at \$2.22 against \$2.09 expected. Third-quarter guidance was set at \$108bn, plus or minus 2%, against roughly \$103.9bn looked for.

The shares rose about 5% after hours from a \$213 close, which puts them near \$224 — back above the \$218 line that broke last week, inside a published \$192–230 range. Into the print the S&P 500 closed at 7,677.28, a third of the way up its 7,601–7,825 band, with VIX at 15.46. Hedgeye held no position in semis and had said so in advance. The emotion on the screen this morning is relief, and its evidence is a 10% implied-volatility premium that has just expired worthless.

## WHAT WISDOM WOULD SAY

Epictetus opens the Enchiridion by dividing the world in two: what is up to us — judgement, impulse, desire, aversion — and what is not, which is everything else, outcomes included. The division is not offered as consolation. It is a rule about what may be graded.

A decision is assessed on the information available when it was taken and the size it put at risk. The result arrives afterwards, from causes that were never yours, and cannot be run backwards into the decision. Declining semiconductor exposure into a binary event was a judgement about dispersion, not a forecast of the number. The number was good. That does not convert the abstention into an error, any more than a miss would have converted it into skill.

What is gradable this morning is narrower and duller. Was the level that would matter named before the event. Could you have said at eight o'clock last night what you would do at either outcome. If both answers are yes, yesterday was well spent, whatever the print. If either is being composed now, the cost is not the five per cent.

#### THE RISK IT JUSTIFIES

The condition stated in advance was that a recovery through \$218 sets up a move toward \$230, with \$218 as the stop. After hours, that condition appears met. It is not. An after-hours print is not a close, and the level was written for the cash session. Waiting for the close costs a few dollars of entry and buys the difference between a signal and a headline.

At \$224 the position sits roughly three-quarters of the way up a \$192–230 band. The distance to the stated stop is small; the distance to the stated target is smaller. That is a poor ratio, arrived at honestly. Standing aside today and letting the range reset is not caution — it is yesterday's judgement applied to a better-known world. What would change it: a cash close above \$218 with the band shifted up, or the S&P clearing 7,825 and taking the whole complex with it.

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*What would you have done if the number had gone the other way, and did you know that last night?*